

people become more inclined to take risks. It is, incidentally, the first study to successfully employ an experimental methodology in corroborating the existence of “house money effect” in a dynamic, financial setting. The paper compared market outcomes across sessions that begin with participants benefiting from cash endowments at different levels (i.e., “low” versus “high” endowments). The study demonstrated that the traders’ bids, their price predictions, and the market prices ultimately negotiated are all influenced by the level of the endowment that traders receive prior to trading. The paper carried significant implications for practitioners and investors: Namely, it implied that investors take more risks as wealth increases. This phenomenon, in turn, can endanger investors’ portfolios. A rational investor should treat every dollar as “fungible”—of interchangeable value. However, if the value of each dollar decreases as the abundance of endowed dollars grows, then this assumption is clearly upset, and neoclassical theory no longer applies. Given the length and complexity of the paper, only one of the two main hypotheses will be reviewed. This hypothesis is that *market prices become higher when traders’ endowments are larger*.

The purpose of the experiment is to test for a house money effect in a dynamic market setting. According to the house money effect, people are more willing to take risk after prior gains. To examine the impact of prior gains, we compare behavior across our low endowment (1 to 5) and high endowment (6 to 9) sessions. [Table 10.1] summarizes the experimental design. Across the sessions, we vary the initial endowment: low (\$60) and high (\$75). Each session

TABLE 10.1 Experimental Design

Treatment	Session	Number of traders	Number of markets	Number of periods	Endowment of cash
Low endowment	1	8	6	3	\$60
2	8	6	3	\$60	
3	8	6	3	\$60	
4	8	6	3	\$60	
5	8	6	3	\$60	
High endowment	6	8	8	3	\$75
7	8	8	3	\$75	
8	8	8	3	\$75	
9	8	8	3	\$75	

Source: Ackert, Charupat, Church, and Deaves (2003).